

Increasing Consumer Opportunities for Self-Employment in Vocational Rehabilitation

RTC: Rural Research & Training Center on Disability in Rural Communities

Progress Report

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Self-Employment

Self-employment is an important employment option for people with disabilities, particularly those living in rural communities where economic choice and opportunity may be more limited. Self-employment offers:

- Opportunity to remain close to established support networks
- Non-traditional work hours as a disability accommodation
- Flexibility (or consumer control) to get to and from work when transportation options are limited
- Alternative worksites that minimize barriers such as inaccessible buildings and workspaces

Given these aspects, it is understandable that people with disabilities are self-employed at nearly double the rate of people without disabilities (10.3% vs. 6.1%),¹ and rates are even higher among rural populations.²

- People with disabilities are self-employed at higher rates than people without disabilities.
- Few Vocational Rehabilitation (VR) consumers become self-employed, partly due to VR systems and knowledge barriers.
- The VR Self-Employment Guide addresses barriers within the VR system.

Self-Employment in Vocational Rehabilitation

Vocational Rehabilitation (VR) agencies are funded to assist people with disabilities to secure employment. Given this charge, one might expect VR to have self-employment rates that parallel national self-employment rates of people with and without disabilities. In fact, rates fall well below national averages, in the range of 2% of consumers who become employed.³

- There are a variety of explanations for low rates of self-employment within the VR system:^{4,5}
- Counselors lack adequate training to support consumers who wish to pursue self-employment
- VR agency policies and procedures lack clear guidance for self-employment cases
- It takes considerable time and effort to explore, develop, and start a business
- Counselors are not aware of external supports for consumers interested in self-employment
- Financial outcomes are uncertain for consumers who start a business, particularly for consumers who receive SSI or SSDI

Chart: Self-Employment Rates

- 6.1% People without disabilities
- 10.3% People with disabilities
- 2% VR Consumers

Developing a VR Self-Employment Guide

To address some of these concerns, researchers from RTC:Rural used a participatory process to engage stakeholders, and use their expertise to develop a comprehensive online self-employment resource for VR. Development activities included (1) interviews with seven business owners with disabilities about their own business planning and areas to emphasize, (2) ongoing meetings with agency staff from the Utah Self-employment task force and seven Tribal Vocational Rehabilitation (TVR) programs to identify key elements and messaging of the self-employment process within the VR and TVR systems, (3) interviews with a broader constituency of agency and counseling staff from five states to ensure the guide was appropriate across programs and (4) review and vetting with a Small Business Development Center.

Originally, the *VR Self-Employment Guide* was a workbook for counselor use. Based on stakeholder feedback, however, it shifted to an online resource that provides a common location where counselors, consumers, natural supports, CRPs/vendors, and small business development staff can access and review the same materials on a website.

The VR Self-Employment Guide is an online resource that provides a common location where counselors, consumers, natural supports, CRPs/vendors, and small business development staff can access and review the same materials.

Stakeholder Perspectives

VR counselors and agency staff from Utah, New Mexico, Iowa, Alaska, Wisconsin, Florida, North Dakota, and Montana shared their concerns and perspectives about assisting consumers in self-employment. Feedback generally fell into five themes including systems issues, external supports, consumer readiness, business feasibility, and business planning.

Systems Issues

At the systems level, informants highlighted misunderstanding or confusion about how the self-employment process may unfold in VR, and the counselor and consumer roles in the process. In part, this related to outdated self-employment policies and procedures. For instance, some states utilized a resource for assessing consumer readiness that was no longer supported in the field.

External Supports

Some VR programs pay external supports, such as independent contractors, vendors, or community rehabilitation programs (CRPs) to assist consumers with developing and writing the business plan. Counselors and agency staff highlighted a number of issues that had come up:

- Vendors or CRPs write the business plans with little input from the consumer. They essentially take over the process.
- The quality of the developed business plans varied significantly across vendors.
- Expectations from the agency were not clearly spelled out about how the counselor worked with the vendor to evaluate and consider the business plan.

Consumer Readiness

Some VR stakeholders indicated they were unsure how to evaluate the suitability of self-employment for consumers. For instance, they felt that some consumers had unrealistic expectations about running a business or lacked the breadth of skills necessary to pursue self-employment. Although they acknowledged that many needed skills could be met with training or through other paid and unpaid supports, they wanted a process to initiate conversations about consumer readiness.

Business Feasibility

Counselors described situations where the consumer had a business idea that did not seem feasible. They described fears that the business would be unsuccessful after considerable cost, time, and effort to get it up and running. These fears arose in terms of both production and sales. Business feasibility concerns included:

- Having enough customers to support the business.